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Glossary

Accounting defeasement A way of extinguishing a debt obligation by setting aside sufficient high-quality securities to repay the liability. Also called *in-substance defeasance*.

Active management A portfolio management approach that allows risk factor mismatches relative to a benchmark index causing potentially significant return differences between the active portfolio and the underlying benchmark.

Active return The return on a portfolio minus the return on the portfolio's benchmark.

Active risk The standard deviation of active returns.

Active share A measure of how similar a portfolio is to its benchmark. A manager who precisely replicates the benchmark will have an active share of zero; a manager with no holdings in common with the benchmark will have an active share of one.

Agency trade A trade in which the broker is engaged to find the other side of the trade, acting as an agent. In doing so, the broker does not assume any risk for the trade.

Alpha decay In a trading context, alpha decay is the erosion or deterioration in short term alpha after the investment decision has been made.

Alternative trading systems Trading venues that function like exchanges but that do not exercise regulatory authority over their subscribers except with respect to the conduct of the subscribers' trading in their trading systems. Also called *electronic communications networks* or *multilateral trading facilities*.

Arrival price In a trading context, the arrival price is the security price at the time the order was released to the market for execution.

Asset swap spread (ASW) The spread over MRR on an interest rate swap for the remaining life of the bond that is equivalent to the bond's fixed coupon.

Asset swaps Convert a bond's fixed coupon to MRR plus (or minus) a spread.

Authorized participants (APs) A special group of institutional investors who are authorized by the ETF issuer to participate in the creation/redemption process. APs are large broker/dealers, often market makers.

Barbell A fixed-income investment strategy combining short- and long-term bond positions.

Bear flattening A decrease in the yield spread between long- and short-term maturities across the yield curve, which is largely driven by a rise in short-term bond yields-to-maturity.

Bear steepening An increase in the yield spread between long- and short-term maturities across the yield curve, which is largely driven by a rise in long-term bond yields-to-maturity.

Breadth The number of truly independent decisions made each year.

Bull flattening A decrease in the yield spread between long- and short-term maturities across the yield curve, which is largely driven by a decline in long-term bond yields-to-maturity.

Bull steepening An increase in the yield spread between long- and short-term maturities across the yield curve, which is largely driven by a decline in short-term bond yields-to-maturity.

Bullet A fixed-income investment strategy that focuses on the intermediate term (or "belly") of the yield curve.

Butterfly spread A measure of yield curve shape or curvature equal to double the intermediate yield-to-maturity less the sum of short- and long-term yields-to-maturity.

Butterfly strategy A common yield curve shape strategy that combines a long or short bullet position with a barbell portfolio in the opposite direction to capitalize on expected yield curve shape changes.

Carry trade across currencies A strategy seeking to benefit from a positive interest rate differential across currencies by combining a short position (or borrowing) in a low-yielding currency and a long position (or lending) in a high-yielding currency.

Cash drag Tracking error caused by temporarily uninvested cash.

CDS curve Plot of CDS spreads across maturities for a single reference entity or group of reference entities in an index.

Cell approach See *stratified sampling*.

Closet indexer A fund that advertises itself as being actively managed but is substantially similar to an index fund in its exposures.

Completion overlay A type of overlay that addresses an indexed portfolio that has diverged from its proper exposure.

Conditional value at risk (CVaR) Also known as expected tail loss or expected shortfall. The average portfolio loss over a specific time period conditional on that loss exceeding the value at risk (VaR) threshold.

Contingent immunization Hybrid approach that combines immunization with an active management approach when the asset portfolio's value exceeds the present value of the liability portfolio.

Covered interest rate parity The relationship among the spot exchange rate, the forward exchange rate, and the interest rates in two currencies that ensures that the return on a hedged (i.e., covered) foreign risk-free investment is the same as the return on a domestic risk-free investment. Also called *interest rate parity*.

Credit cycle The expansion and contraction of credit over the business cycle, which translates into asset price changes based on default and recovery expectations across maturities and rating categories.

Credit default swap (CDS) basis Yield spread on a bond, as compared to CDS spread of same tenor.

Credit loss rate The realized percentage of par value lost to default for a group of bonds equal to the bonds' default rate multiplied by the loss severity.

Credit migration The change in a bond's credit rating over a certain period.

Credit risk The expected economic loss under a potential borrower default over the life of the contract.

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Credit valuation adjustment (CVA) The present value of credit risk for a loan, bond, or derivative obligation.

Cross-currency basis swap A swap in which notional principals are exchanged because the goal of the transaction is to issue at a more favorable funding rate and swap the amount back to the currency of choice.

Currency overlay A type of overlay that helps hedge the returns of securities held in foreign currency back to the home country's currency.

Decision price In a trading context, the decision price is the security price at the time the investment decision was made.

Default intensity POD over a specified time period in a reduced form credit model.

Default risk See *credit risk*.

Delay cost The (trading related) cost associated with not submitting the order to the market in a timely manner.

Direct market access (DMA) Access in which market participants can transact orders directly with the order book of an exchange using a broker's exchange connectivity.

Discount margin The discount (or required) margin is the yield spread versus the MRR such that the FRN is priced at par on a rate reset date.

Duration Times Spread (DTS) Weighting of spread duration by credit spread to incorporate the empirical observation that spread changes for lower-rated bonds tend to be consistent on a percentage rather than absolute basis.

Empirical duration Estimation of the price–yield relationship using historical bond market data in statistical models.

Enhanced indexing strategy A method investors use to match an underlying market index in which the investor purchases fewer securities than the full set of index constituents but matches primary risk factors reflected in the index.

Evaluated pricing See *matrix pricing*.

Excess spread Surplus difference of yield remaining after payments to bondholders are made after expenses are made and losses are covered.

Execution cost The difference between the (trading related) cost of the real portfolio and the paper portfolio, based on shares and prices transacted.

Expected shortfall The average loss conditional on exceeding the VaR cutoff; sometimes referred to as *conditional VaR* or *expected tail loss*.

Expected tail loss See *conditional VaR*.

Forward rate bias An empirically observed divergence from interest rate parity conditions that active investors seek to benefit from by borrowing in a lower-yield currency and investing in a higher-yield currency.

Full replication approach When every issue in an index is represented in the portfolio and each portfolio position has approximately the same weight in the fund as in the index.

G-spread Yield spread in basis points between a bond's yield-to-maturity and that of an actual or interpolated government bond. It represents the return for bearing risks relative to the government bond.

Green bonds Bonds used to specifically finance environmental-related projects.

Hazard rate The probability that an event will occur, given that it has not already occurred.

I-spread (interpolated spread) Yield spread measure using swaps or constant maturity Treasury YTMs as a benchmark.

Immunization An asset/liability management approach that structures investments in bonds to match (offset) liabilities' weighted-average duration; a type of dedication strategy.

Implementation shortfall (IS) The difference between the return for a notional or paper portfolio, where all transactions are assumed to take place at the manager's decision price, and the portfolio's actual return, which reflects realized transactions, including all fees and costs.

Incremental VaR (or partial VaR) The change in the minimum portfolio loss expected to occur over a given time period at a specific confidence level resulting from increasing or decreasing a portfolio position.

Information coefficient Formally defined as the correlation between forecast return and actual return. In essence, it measures the effectiveness of investment insight.

Key rate duration Also known as partial duration, is a measure of a bond's sensitivity to a change in the benchmark yield at a specific maturity.

Liquidity budget The portfolio allocations (or weightings) considered acceptable for the liquidity categories in the liquidity classification schedule (or time-to-cash table).

Liquidity classification schedule A liquidity management classification (or table) that defines portfolio liquidity "buckets" or categories based on the estimated time necessary to convert assets in that particular category into cash.

Loss severity Portion of a bond's value (including unpaid interest) an investor loses in the event of default.

Matrix pricing An estimation process for financial instruments based on the prices of comparable instruments.

Multilateral trading facilities See *alternative trading systems*.

Negative butterfly An increase in the butterfly spread due to lower short- and long-term yields-to-maturity and a higher intermediate yield-to-maturity.

OAS duration The change in bond price for a given change in OAS.

Opportunity cost Reflects the foregone opportunity of investing in a different asset. It is typically denoted by the risk-free rate of interest, r.

Option-adjusted spread (OAS) A generalized constant yield spread over the zero curve that incorporates bond option pricing based on assumed interest rate volatility and may be used for callable, putable, and non-callable bonds.

Options on bond futures contracts Instruments that involve the right, but not the obligation, to enter into a bond futures contract at a pre-determined strike (bond price) on a future date in exchange for an up-front premium.

Overlay A derivative position (or derivative positions) used to adjust a pre-existing portfolio closer to its objectives.

Passive investment A buy-and-hold approach in which an investor does not make portfolio changes based on short-term expectations of changing market or security performance.

Portfolio overlay An array of derivative positions managed separately from the securities portfolio to achieve overall intended portfolio characteristics.

Positive butterfly A decrease in the butterfly spread due to higher short- and long-term yields-to-maturity and a lower intermediate yield-to-maturity.

Present value of distribution of cash flows methodology Method used to address a portfolio's sensitivity to rate changes along the yield curve. This approach seeks to approximate and match the yield curve risk of an index over discrete time periods.

Principal trade A trade in which the market maker or dealer becomes a disclosed counterparty and assumes risk for the trade by transacting the security for their own account. Also called *broker risk trades*.

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Probability of default The likelihood that a borrower defaults or fails to meet its obligation to make full and timely payments of principal and interest.

Program trading A strategy of buying or selling many stocks simultaneously.

Pure indexing Attempts to replicate a bond index as closely as possible, targeting zero active return and zero active risk.

Quoted margin Specified spread of a floating rate instrument over a market reference rate or benchmark.

Rebalancing overlay A type of overlay that addresses a portfolio's need to sell certain constituent securities and buy others.

Reduced form credit models Credit models that solve for default probability over a specific time period using observable company-specific variables such as financial ratios and macroeconomic variables.

Relative VaR The minimum portfolio loss expected to occur over a given time period at a specific confidence level based on a portfolio containing active positions minus benchmark holdings.

Request for quote (RFQ) A non-binding quote provided by a market maker or dealer to a potential buyer or seller upon request. Commonly used in fixed income markets these quotes are only valid at the time they are provided.

Scenario analysis A variation of the valuation process combining a base case with alternative outcomes, allowing the incorporation of more favorable or adverse scenarios in the valuation process.

Smart beta Involves the use of simple, transparent, rules-based strategies as a basis for investment decisions.

Smart order routers (SOR) Smart systems used to electronically route small orders to the best markets for execution based on order type and prevailing market conditions.

Spread duration The change in bond price for a given change in yield spread. Also referred to as OAS duration when the option-adjusted spread (OAS) is the yield measure used.

Stratified sampling A sampling method that guarantees that subpopulations of interest are represented in the sample. Also called *representative sampling* or *cell approach*.

Structural credit models Credit models that apply market-based variables to estimate the value of an issuer's assets and the volatility of asset value.

Structural risk Risk that arises from portfolio design, particularly the choice of the portfolio allocations.

Surplus The difference between assets and liabilities, analogous to shareholders' equity on a corporate balance sheet.

Swaption This instrument grants a party the right, but not the obligation, to enter into an interest rate swap at a pre-determined strike (fixed swap rate) on a future date in exchange for an up-front premium.

Time-to-cash table See *liquidity classification schedule*.

Total return swap A swap in which one party agrees to pay the total return on a security. Often used as a credit derivative, in which the underlying is a bond.

Tracking error The standard deviation of the differences between a portfolio's returns and its benchmark's returns; a synonym of active risk.

Tracking risk The standard deviation of the differences between a portfolio's returns and its benchmarks returns. Also called *tracking error*.

Trade urgency A reference to how quickly or slowly an order is executed over the trading time horizon.

Transfer coefficient The ability to translate portfolio insights into investment decisions without constraint.

Uncovered interest rate parity The proposition that the expected return on an uncovered (i.e., unhedged) foreign currency (risk-free) investment should equal the return on a comparable domestic currency investment.

Value at risk (VaR) The minimum loss that would be expected a certain percentage of the time over a certain period of time given the assumed market conditions.

Yield spread The difference in yield-to-maturity between a bond and that of another bond.

Z-score A reduced-form statistical credit measure that uses company-specific and market-based ratios to create a composite score used to determine whether a firm is likely to default or remain solvent.

Zero-discount margin (Z-DM) A yield spread calculation for FRNs that incorporates forward MRR.

Zero-volatility spread (Z-spread) A constant spread which is estimated using the market prices of comparable bonds for issuers of similar credit quality of a bond over the benchmark rate.